

time, achieve an economic return greater than the stock market?

2. *Wait for the best odds.* The odds of success tip in your favor when you have a margin of safety; the more uncertain the situation, the greater the margin you need. In the stock market, the margin of safety is provided by a discounted price. When the company you like is selling at a price that is below its intrinsic value, that is your signal to act.

3. *Adjust for new information.* Knowing that you are going to wait until the odds turn in your favor, pay scrupulous attention in the meantime to whatever the company does. Has management begun to act irresponsibly? Have the financial decisions begun to change? Has something happened to alter the competitive landscape in which the business operates? If so, the probabilities will likely change.

4. *Decide how much to invest.* Of all the money you have available for investing in the market, what proportion should go into a particular purchase? Start with the Kelly formula, then adjust downward, perhaps to a half-Kelly bet or a fractional-Kelly bet.

Thinking about probabilities may be new to you, but it is not impossible to learn how to use them. If you are able to teach yourself to think about stocks this way, you are well on your way to being able to profit from your own lessons. Recall Buffett's purchase of the Coca-Cola Company in 1988. He invested one-third of Berkshire's portfolio in the company. Coca-Cola was an outstanding business with above-average economics selling at a price substantially below intrinsic value. Opportunities like this do not often occur in the stock market. But when one does occur, those who understand probabilities will recognize it and will know what to do. As Charlie Munger puts it, "The wise [investors] bet heavily when the world offers them that opportunity. They bet big when they have the odds. And the rest of the time, they don't. It's just that simple."²³

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